



EUROPEAN CENTRAL BANK

BANKING SUPERVISION

DG-MS IV/COI Publication Credit Risk Loan Tapes

Exchange with the
European Banking
Federation

28 September 2020



ECB-RESTRICTED
FINAL

Tilo Däbritz
Head of Section, DG-MS IV COI/CT

1 Road to industry publication

2 STAR external portal

1

Road to industry publication

Recent situation and main issues encountered

ECB-RESTRICTED
FINAL

Recap 6 Feb

**Loan Tapes are a crucial prerequisite for all credit risk missions.
A timely availability of the requested information and the quality are key drivers for the efficiency of credit risk on-site inspections.**

The variety of portfolio(s), different banking business models, different IT- and group-structures, changes to the national and international regulation as well as heterogeneous requests for different inspections contribute to the complexity to provide the OSI-teams with the requested data.

In consequence, we observed issues regarding the availability of data, often long delivery processes and data quality issues. Main reasons were different levels of automation, legacy issues in the IT-systems as well as resource constraints in the relevant risk or finance functions **that led to high manual workload on both sides as well as to inefficiencies.**

Our analysis suggested that the SSM can contribute to an improvement of the situation.

The target of the exchange with the industry was to disclose the specification and thus enable the institutions to develop their data infrastructure in order to better cope with loan tape requests as an essential part of credit risk on-site inspections.

SSM contribution to improve the situation

ECB-RESTRICTED
FINAL

Recap 6 Feb

The ECB makes **the Credit Risk Loan Tapes** available to the industry in a **stabilised and standardised manner**.

1 Standardisation, streamlining and stabilisation of the Loan Tape data requests for the different portfolios as well as **alignment of data attribute definitions with AnaCredit, RIAD and other regulatory frameworks** where possible.

2 **Disclosure of the specifications** to the industry so as to allow banks to prepare for upcoming loan tape data requests as well as to **provide for enhanced standardisation and automatization**.

3 The **data quality assessment can further be automated** and **basic data quality checks will be available** to banks prior to their submission to inspections teams.

4 Regardless of whether or not an on-site inspection has been announced **Banks will be expected to prepare and test**.
The **expected benefit is also to speed up the overall credit quality review process**, shortening the average durations of the longest types of on-site inspections.

SSM started to exchange with the industry

ECB-RESTRICTED
FINAL

Recap 6 Feb

The ECB made **the draft Credit Risk Loan Tapes** available to the industry in a **stabilised and standardised manner...**

	AnaC	Other reg. reference	CRP	CRE	LF	RRE	Retail SME	Retail Other
Number of data attributes	112	90	342	262	197	250	266	184
Of which AnaC			110	63	55	60	65	44
% AnaC			32.2 %	24.0 %	27.9 %	24.0 %	24.4 %	23.9 %
Of which other reg. reference			66	38	46	61	65	56
% other reg. reference			19.3 %	14.5 %	23.4 %	24.4 %	24.4 %	30.4 %
Total any reg. reference			176	101	101	121	130	100
Total % any reg. reference			51.5 %	38.5 %	51.3 %	48.4 %	48.9 %	54.3 %

...and kindly asked the industry to provide feedback on the layout of the data request framework ...

Loan Tape Data Dictionary layout
as at 6 February 2020

Response by the European Banking Federation

ECB-RESTRICTED
FINAL

Following the exchange with the industry, the **EBF-members have provided a very detailed feedback and list of questions** on the draft Loan Tape Data Dictionary.

The feedback can be summarised along the following categories:

- **Standardisation**, e.g. “The amount of 75 additional (optional) fields undermines the standardisation initiative.”
- **Data attribute definition**, e.g. “The definitions of certain data attributes need to be clarified.”
- **Data attribute availability**, e.g. “Historical / backward data are retrievable only with high complexity efforts.”
- **Data integrity validation**, e.g. “Data quality would benefit if ECB made data quality check routines available.”

The industry confirmed its high commitment to reach the common goal on the Loan Tape Data Dictionary stabilisation and informs about an implementation timeline of c.18 month anticipating a full industrialisation by end Q1 2022.

The SSM has considered the industry feedback

ECB RESTRICTED
FINAL

In order to reach the common goal, the ECB has adapted in the following way:

➤ **Standardisation:**

- Placeholder fields are reduced to max of 10 fields (prev. 15) per main table and 5 (prev. 10) per linking table.
- Changes will take place within a regular review cycle of initially approx. 1 year.

➤ **Data attribute definition:**

- SSM inspectors' community has checked the informational value of each data attribute.
- Field definitions have carefully been reviewed and regulatory reference provided where possible.

➤ **Data attribute availability:**

- In order to better balance the banks' costs of extraction with the added informational value, the ECB has scrutinised the need of each data attribute.
- Two examples: backward-looking data requests are limited to a maximum observation period of 48 months and requests on a debtors balance sheet financial information haven been reduced to a minimum.

➤ **Data integrity validation:**

- Supporting data quality, ECB will start sharing basic field validation rules from Q1/2021.

Main achievements of the dialogue

ECB-RESTRICTED
FINAL

Based on the starting point of 432 different data attributes across 6 portfolios in the data dictionary

Simplified the data request

The data dictionary was downsized by effectively 27%.

Strengthen the informational value

Focus on must have rather than nice to have data fields, e.g. delete request for sqm surface and better clarify and define data requests.

Reconciliation of cost-benefit

Limitation of time-travel data to a maximum of 48 months and to request must have information only.

Expected increase of data quality

Within the course of Q1 2021 ECB will start sharing basic single data field validation rules.

Strong industry commitment

Full industrialisation anticipated by end Q1/2022.

Less attributes and stronger link to regulatory references

ECB-RESTRICTED
FINAL

Based on the feedback, the **need to strengthen the informational value and to consider the cost of extraction** have strongly guided the finalisation.

	Total	AnaC	Other reg. reference	CRP	CRE	LF	RRE	Retail SME	Retail Other
Dictionary February 2020	432	112	90	342	262	197	250	266	184
Dictionary September 2020	317	76	99	268	252	176	231	245	181
<i>Dictionary absolute delta</i>	-115	-36	+10	-74	-10	-21	-19	-21	-3
<i>Dictionary relative delta</i>	-26.6%	-32.1%	+10.0%	-21.6%	-3.8%	-10.7%	-7.6%	-7.9%	-1.6%
<i>Total data attributes of which regulatory reference >>></i>				158	141	108	143	148	124
<i>Of which regulatory reference in % >>></i>				59.0%	56.0%	61.4%	61.9%	60.4%	68.5%

2

STAR external portal

Overview of the External STAR Portal

The External STAR portal is based on the software package JIRA by Atlassian©. JIRA is a ticket management software which has been customised. The entry point of the portal for institutions shows four menu items:

ITEM	DESCRIPTION
1 Dashboards	Customised views and status reports of pre-validation requests and submissions.
2 Projects	On-site inspection corresponds to the project [CQR-External (CQREXT)] in the External STAR Portal.
3 Issues	Search for pre-validation requests and submissions.
4 Create	Create new pre-validation requests and submissions to the ECB or upload a public key for encrypted communication.

System Dashboard

Introduction

Welcome to the **External STAR Portal**. Please create new ticket (question) to access all tickets by clicking on "Issues" -> "Search for issues". To help you browse through the existing tickets for this exercise, additional links are provided below. To view the most out of these links by changing your search view to a table. In case the List View(tabular style) by typing "t" once on your keyboard:

Filter **Description**

Your Submissions All Submission issues created by

ISSUE TYPE	PURPOSE
 Submission	- Institutions can pre-validate and submit loan tapes. - File level check reports are added to tickets if loan tapes are not correctly formatted. Institutions can download these reports. - Submissions of not correctly formatted loan tapes are automatically rejected.
 Public Key upload	Public Keys of banks to be uploaded by the ECB

Connection to STAR is managed via iWelcome

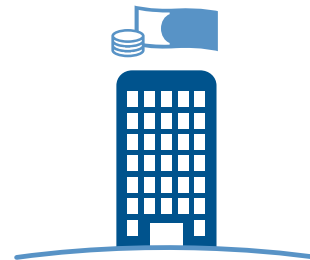
ECB-RESTRICTED
FINAL

Access to the External STAR Portal is managed via the ECB Identity Portal which as well provides user authentication. The ECB Identity Portal is built on an Identity & Access Management as a Service (IDaaS) solution hosted by **iWelcome©**.

iWelcome© is a **European company**, exclusively based in the European Union. The data is thus stored solely within the European Union.



ECB



Significant
Institutions

ECB iWelcome site for user mgmt.: <https://id.ecb.europa.eu>

External STAR Portal for exercises: <https://star.ecb.europa.eu>

STAR On-boarding process and users

STAR users at SIs will be managed via a decentralised operational model which foresees the delegation of administration of end users to Delegated Administrators¹ within the SIs.

- The on-boarding process requires the nomination of at least one and up to three Delegated User Administrators by the SI and the signature of the 3UM Terms of Use by these Delegated User Administrators.
- Afterwards, the ECB will verify the identity of the DUA(s) before proceeding with the creation of the account.

Delegated User Administrators

Granted by: request to ECB

The Delegated User Administrator (DUA) is the user manager for an SI and is responsible for creating and managing SI End Users.

Delegated Application Administrators

The Delegated Application Administrator (DAA) is responsible for managing the rights of these users for a specific ECB application, one of which is the External STAR Portal for CQR Exercises.

Both are responsible for reviewing their organization's users and roles and ensuring the list of End Users and their details are always up to date. DUA and DAA can be the same person and also be granted application rights.

End Users

Pre-validator

A Pre-validator can perform the following tasks in STAR:

- Pre-validate loan tape templates

[per Mission]: Submitter

For each active CQR mission, a separate Submitter role allows to, in addition to the above:

- Submission of Significant Institution documents for given CQR mission: loan tape templates
- Submission of public keys for the Significant Institution

¹ *Delegated Administrators* refers collectively to both DUAs and DAAs in all subsequent slides

Next steps

- **The industry, is kindly invited** to develop their data infrastructure in order to better cope with loan tape requests and is **expected to prepare and test** in due time via the STAR external portal.
- The ECB foresees an **implementation timeline of c.18 months** and a full industrialisation by end Q1 2022.
- The ECB foresees a **regular data request revision cycle of c.1 year** and implements a versioning tracker into the data request framework.
- ECB will start sharing basic data **field level validation rules by Q1/2021.**
- ECB will provide a dedicated STAR external portal WebEx session until **Q2/2021.**

Have you got any questions?



Thank you very much!